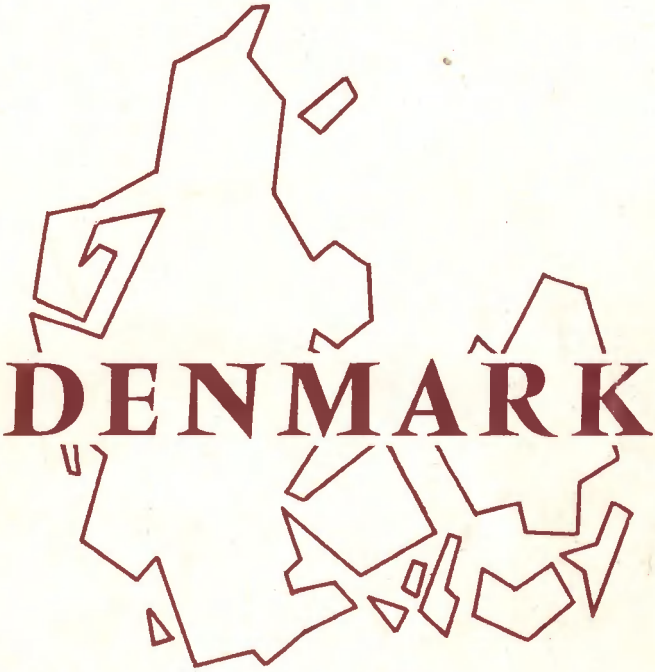
ECONOMIC SURVEYS BY THE OECD



FEBRUARY 1962

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
PARIS

I22/27P(DAN)
(E)2

DENMARK

BASIC STATISTICS

THE LAND

Area (thousand sq.km.)	43
Agricultural area (thousand sq.km.)	31

Urban population (Sept. 1960):

Copenhagen	924,000
Aarhus	120,000
Other cities	1,122,000

THE PEOPLE

Population (Dec. 1960)	4,596,000
No. of inhabitants per sq. km	107
Net natural increase (average 1956-60)	34,000
— per 1,000 inhab. (average 1955-59)	7.7
Labour force, total (1960)	2,270,000
Of which in agriculture	400,000
Net annual emigration (average 1955-59)	6,000

PRODUCTION

Gross National Product in 1960 (millions of kroner)	41,100
G.N.P. per head (U.S. dollars)	1,300
Gross fixed capital formation in 1960:	
— per cent of G.N.P.	20
— per head (U.S. dollars)	250

THE GOVERNMENT

Public consumption in 1960 (per cent of G.N.P.)	12
General government current revenue in 1960 (per cent of G.N.P.)	27
Public gross fixed capital formation in 1960 (per cent of G.N.P.)	3
Public debt in 1960 (ratio to general government current revenue)	107

Composition of Parliament:

(No. of seats)	
— Social Democrats	76
— Social Liberals	11
— Liberals	38
— Conservatives	32
— The Independent Party	6
— Left Wing Socialists	11
— Others	1
	175

Last general election: 1960.

LIVING STANDARDS

Calories per head, per day (1958-59)	3,350
Energy consumption per head in 1959 (O.E.E.C. average = 100)	104
Steel consumption per head in 1959 (O.E.E.C. average = 100)	111
Paper consumption per head in 1959 (O.E.E.C. average = 100)	163
Average hourly earnings of workers in manufacturing and construction in 1960 (in kroner)	5.95
Number of passenger cars in use per 1,000 inh. (Dec. 1960)	89
Number of telephones per 1,000 inh. (1959)	224
Number of radio sets per 1,000 inh. (1958)	327

FOREIGN TRADE

Exports:

Exports of goods and services in per cent of G.N.P. (average 1956-60)	33
Main exports in 1960 (percentage of total merchandise exports):	
— Agricultural products	45
— Of which: Animal	42
— Canned meat and milk products	7
— Machinery and transport equipment	19

Imports:

Imports of goods and services as per cent of G.N.P. (average 1956-60)	33
Main imports in 1960 (percentage of total merchandise imports):	
— Machinery	13
— Fuels	12
— Base metals	10
— Transport equipment	10
— Textiles	9

THE CURRENCY

Monetary unit: Krone.

Currency units per U.S. dollar: 6.91.

ECONOMIC SURVEYS BY THE OECD

DENMARK

1962

PUBLISHED BY
THE ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
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The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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DENMARK

I. Accelerated Structural Change

1. Since the later 1950s, Denmark has entered into a phase of faster economic growth. Between 1950 and 1957 the gross national product only rose by about 2 ½ per cent a year. But since 1957 the rate of growth has risen to 5 per cent, and full employment conditions have, for the first time since the war, been maintained for a significant period.

2. This faster rate of expansion has been of particular importance to Denmark, enabling substantial progress to be made in the hitherto difficult structural task of providing jobs for the growing labour force. The structural problem which Denmark has been trying to solve in the post-war period derives from the inability of agriculture — the traditional backbone of the economy — to provide adequate employment openings and foreign exchange earnings. Access to export markets is tightly restricted for Danish farmers; and with the progress of mechanisation, agricultural output has been able to expand at the same time as agricultural employment was falling rapidly. (Over the decade the agricultural labour force was reduced by 25 per cent.) The extent to which employment openings could be offered outside the farm sector, however, depended on the rate of non-agricultural investment, and throughout much of the post-war period this has been adversely affected by the Government's frequent need to curtail the expansionary process in order to protect the balance of payments. Thus, until the most recent phase, expansion in Denmark had rarely been sustained for more than one year on end, with protracted intervals of stagnation or decline.

3. The authorities have been able to allow the present expansionary phase to last as long as 3 ½ years because, when it began, the balance-of-payments position was stronger than it had normally been, and because Denmark has begun to borrow moderate sums from abroad. The benefits derived from such a policy can be seen from the fall in unemployment of insured workers from an average of about 10 per cent in 1950-57 to about 3 per cent in 1961. Between 1957 and 1960 the volume of fixed investment in industry rose by 75 per cent, an increase largely concentrated in engineering, chemicals and food processing, all of which are industries with a strong export potential; in a country with a relatively small domestic market, efficient large-scale production can, for many industries, only be obtained through export markets.

In fact, between 1957 and 1960 exports of manufactured goods rose by about 40 per cent, and industrial exports have risen from 35 per cent of the total in the early fifties to about 50 per cent.

4. Thanks to the strength of the expansion, and its new-found continuity, a conspicuous and important change of attitudes has begun to take place. There is now a far more adequate understanding of the importance of promoting industrial development and productivity. A better basis has been provided for the dismantling of tariffs and import restrictions due to take place in the coming years. And it has been possible to make a comprehensive liberalisation of imports of manufactured goods with negligible damage to the industries concerned and an important gain in efficiency for industry as a whole. Moreover, the geographical and vocational mobility of labour has been extended.

5. But during the last two years the expansion has begun to spill over into inflation. Excessive pressure of home demand on resources has developed (for the first time) and the foreign reserves have begun to decline.

II. Recent Trends

a) *The Supply and Use of Resources*

6. The income and liquidity effects of an increasing volume of exports and lower import prices were the main factors which started the economic upswing in 1958. Thereafter, expansion gained momentum through rapidly increasing investment in manufacturing, which was facilitated by the easier credit situation and encouraged by the continuous growth of industrial exports. A third and increasingly important factor was the strong rise of building activity in general. As employment and consumers' incomes rose, an expansion of consumption expenditures added strength to the boom. It seems probable

Table 1. CHANGES IN THE MAIN ITEMS OF THE NATIONAL ACCOUNTS, 1957 TO 1960[1]

	PER CENT	ANNUAL GROWTH RATE
Gross national product	16.7	5.3
Gross fixed capital formation	41.7	12.3
Private consumption	17.9	5.6
Exports	23.8	7.3
Imports	39.6	11.8

1. In volume (1955 prices).
Source: Statistisk Oversigt 1950-1960.

that, in 1961 as in the three previous years, the gross national product rose by close to 5 per cent in real terms.

7. Imports — measured at constant prices — increased from 25 per cent of final expenditure in 1957 to 29 per cent in 1960; the ratio has been rising at about this rate over the decade as a whole. To some extent this reflected the steady reduction of trade barriers. But imports also grew because rising industrial production requires larger amounts of imported raw materials, and because the consumption pattern was changing with the higher level of incomes, with a progressive accent on imported goods.

b) *The Symptoms of Inflation*

8. *Prices.* By 1960 the foreign exchange situation was beginning to deteriorate and in the course of 1961 this symptom of emerging inflation became more marked and was joined by significant price rises.

9. In the first two years of the boom (1958 and 1959) consumers' prices had been edging up, but at a comparatively moderate rate. In both years Denmark profited from declines in the unit value of imports (8 per cent in 1958 and 4 per cent in 1959) which went some way to offset internal pressures on the price level. No such alleviation was enjoyed in 1960, when prices remained comparatively stable because of the sharp improvement of productivity. But in 1961 rising demand pressures and increases from the wage-cost side were making themselves felt more keenly. The effect of rising prices on the wage level (wages are automatically geared to the price index) had been softened in the first two years of the boom by personal tax reductions. Thus, between July 1958 and July 1960 a 2-3 per cent annual rise in consumers' prices was accompanied by a rather lower rise in the wage-regulating price index, because the personal tax element which enters into the latter was reduced. From the beginning of 1961 consumers' prices rose faster — by 4 per cent up to October; and although some further reduction of the personal tax element was made, the index by which wages are regulated rose by 2 ½ per cent. In the remainder of 1961 prices were rising just about as fast, with no further abatement through the personal tax item, so that the wage-regulating index increased more rapidly.

10. *Wages* have been rising rather steeply since 1958. In 1959 and 1960 the increase was just about matched by the improvement of productivity in industry — though the rise in productivity in services was less. The wage increases have had three particular causes. Virtually all wages are automatically linked with the wage-regulating price index, and although this does not provide a one-for-one increase (each percentage point in the price index produces a fixed-sum increase in contractual wages) wage-earners still obtain an automatic 70 per cent compensation for price rises. Contractual wages have also risen as the

TABLE 2. CONSUMERS' PRICES, PERSONAL TAXES AND THE WAGE-REGULATING INDEX

Percentage changes.

	JULY 1958 JULY 1959	JULY 1959 JULY 1960	JULY 1960 JULY 1961	JULY-OCT. 1961
Consumers' prices	2.1	2.8	4.7	1.1
Personal taxes net of children's allowance	— 1.3	— 12.6	— 8.1	—
Wage-regulating index	1.8	1.4	2.9	0.9

Source: Statistiske Efterretninger.

result of collective bargaining (for most of the labour force these contracts last for two or sometimes three years). And, between bargains, substantial wage drift has been taking place, reflecting growing pressure on the labour market and the re-establishment of wage differentials between skilled and unskilled workers which the collective bargains tend to narrow.

TABLE 3. HOURLY EARNINGS IN MANUFACTURING AND CONSTRUCTION 1957-1961

CHANGES BETWEEN ANNUAL AVERAGES OF HOURLY WAGE LEVELS

	PERCENTAGE CHANGE FROM PREVIOUS YEAR			
	1958	1959	1960	1961
Average hourly earnings	3 1/2	8	7	[12-13]
of which due to:				
Negotations	1 1/2	3	1	[11-12]
Wage drift	1	3	5	
Price clause	1	2	1	1

Figures in brackets are Secretariat estimates.

11. Up to the end of 1960 contractual hourly earnings had been rising fairly steadily in pursuance of the three-year contract signed early in 1958. The Government's policy of reducing direct taxes kept the wage increases which result from rises in the price index fairly modest. Wage drift, however, became pronounced as the labour market grew more difficult and unofficial strikes developed; from 1959 to 1960 it amounted to about 5 per cent. Thus, there was a high total rise in average hourly earnings in 1959 and 1960, amounting to 7-8 per cent. In 1961 the process became even faster. After widespread strikes, collective negotiation led to an immediate 8 per cent rise in average industrial earnings (the contract is to last for two years) and civil servants' salaries, which had remained practically stable during the preceding three years,

went up by 13-14 per cent. Added to this, there was again a rather substan- tial wage drift, and average hourly earnings probably rose in all by some 12-13 per cent from the previous year. No further contractual wage increase will now take place before 1963. But the price rise already experienced will lead to an automatic wage increase of at any rate 1.5 per cent, and possibly 3 per cent in March 1962, while some further wage drift is to be expected.

12. *Balance of Payments.* The rise of demand was quickly reflected in the current account of the balance of payments. This had been shielded, to some extent, by a 6 per cent improvement in the terms of trade in 1959. Nevertheless, and despite a substantial rise in exports, the surplus on current account disappeared that year, and in 1960, when the terms of trade deteriorated again, there was a current deficit of nearly $60 million. The current deficit in 1961 was even higher, but the effects of excess home demand on imports was partly offset by the fact that the excellent 1960 harvest greatly reduced imports of feeding-stuffs.

TABLE 4. BALANCE OF PAYMENTS

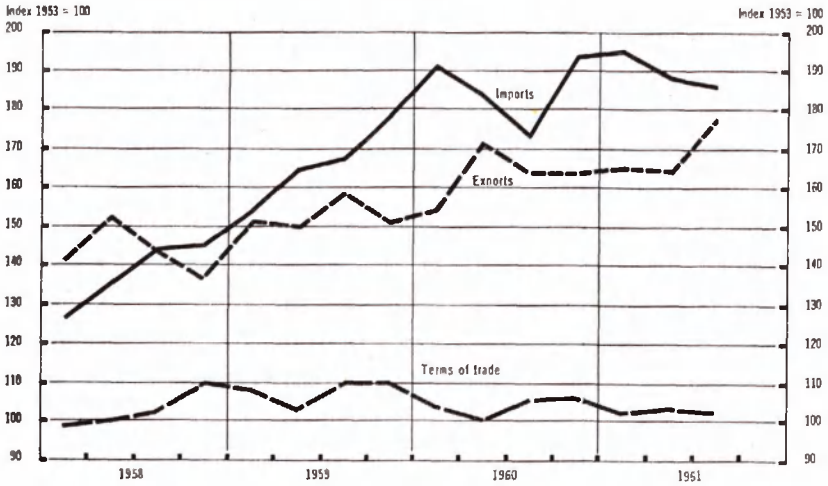
Millions of dollars.

	1958	1959	1960	JANUARY SEPTEMBER	
				1960	1961
Exports (f.o.b.)[1]	1,282	1,392	1,485	1,080	1,100
Imports (c.i.f.)[1]	1,366	1,605	1,804	1,320	1,350
Trade balance[1]	− 84	−213	−319	−240	−250
Net invisibles	209	229	261[2]	196[2]	184
Current balance	125	16	− 58[2]	− 44[2]	− 66
Errors and omissions[3]	26	18	28	12	5
Public capital, net[4]	− 40	− 12	− 4	− 4	− 2
Private capital, net	9	36	9	7	29
Change in foreign reserves	120	58	− 25	− 29	− 34

1. Including foreign trade of overseas territories.
2. Including German reparation payments $3 million.
3. This item includes unrecorded private capital, but is thought mainly to consist of unidentified earnings from services.
4. Comprises only state and municipalities, whereas the borrowing of the semi-public telephone companies are included in private capital.
Source: Denmark's submission to the O.E.C.D.

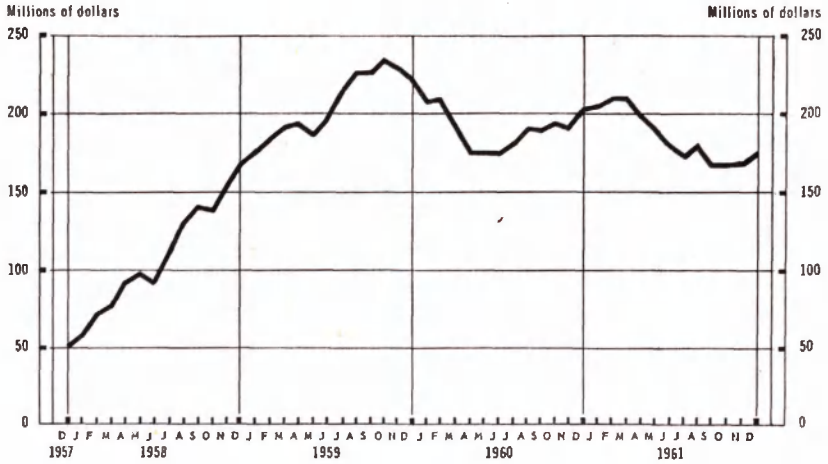
13. In the first three quarters of 1961 the value of agricultural exports was 4-5 per cent lower than a year earlier, owing to a decline in volume of 3 per cent and in prices of 2 per cent. Exports of industrial goods, on the other hand, have continued to progress very satisfactorily. In the first quarter of the year their volume was as much as 16 per cent higher than a year earlier, and although this increase was largely wiped out by strikes in the second quarter, the loss seems to have been made good in the third quarter. In terms of value, industrial exports rose by

Diagram 1. FOREIGN TRADE, VOLUMES AND TERMS OF TRADE[1]
QUARTERLY SEASONALLY ADJUSTED DATA



1. Excluding ships and aircraft.
Source: O.E.C.D., Foreign Trade, Series A.

Diagram 2. NET FOREIGN EXCHANGE RESERVES[1]



1. Comprising net foreign holdings of the Central Bank and the commercial banks.
Source: Statistike Efterretninger.

10 per cent between the first ten months of 1960 and 1961, thus maintaining the rate of advance experienced the previous year.

TABLE 5. FOREIGN TRADE

Millions of dollars.

	1958	1959	1960	JANUARY OCTOBER	
				1960	1961
Imports:					
Grain, feedingstuffs and fertilizers	135	192	189	163	132
Raw materials n.m.	356	360	410	331	319
Textiles, clothing and shoes	107	129	138	114	128
Ships and aircraft	36	51	50	43	29
Other transport equipment	85	109	131	113	117
Machinery, equipment, instruments, etc.	162	212	261	214	244
Other	484	542	615	494	550
Total	1,365	1,595	1,794	1,472	1,519
Exports:					
Agricultural products	606	661	667	550	527
Canned meat and dairy products	95	101	101	85	88
Other manufactures, excluding ships	456	503	563	450	498
Other exports	110	114	137	114	115
Total	1,267	1,379	1,468	1,199	1,228

Source: Vareomsaetningen med udlandet.

14. The saving on imports resulting from the abundant 1960 harvest has been reinforced by the fact that purchases of jet aircraft fell in 1961 and demand for inventories was probably also lower. In other sectors, however, imports have continued to rise. The relaxation of import restrictions in 1960 and 1961 has, no doubt, stimulated this development. But the continued sharp rise in the machinery sector reflects the boom in industrial investment, and many other items have been swollen by the growth of home demand.

15. Because of net borrowing abroad the foreign exchange holdings have developed more favourably than the current balance, although part of the net borrowing has probably resulted in an increased internal demand leading to additional imports. Private capital movements are restricted, but the policy is very liberal on direct investments and short term credits in connection with current transactions. On the other hand portfolio investments in Denmark are, in general, not encouraged.

c) *The Construction Boom*

16. The present boom, and the excess pressures which it has generated, have been greatly reinforced by the strong and continuous growth

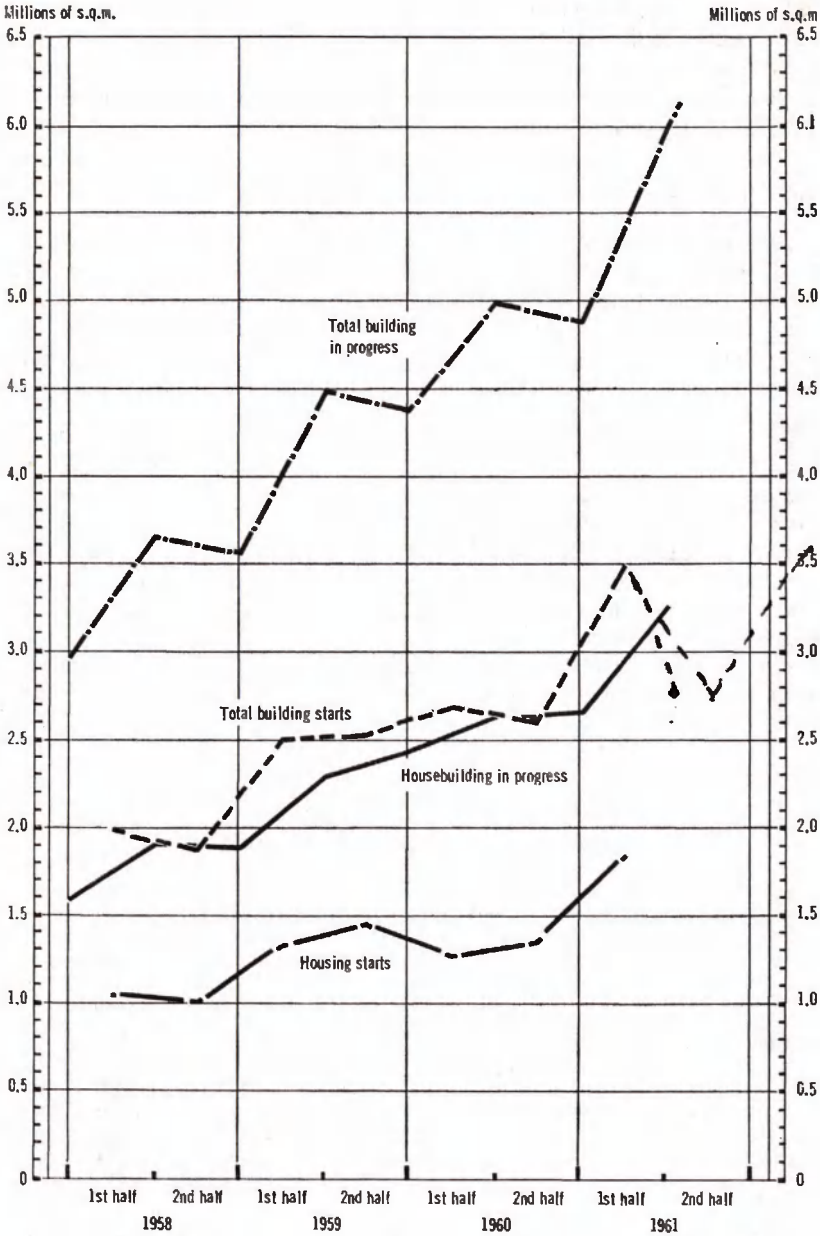
of activity in building and construction. This was helped by the fact that, when the expansion began, monetary conditions were generally very easy. It received further impetus from steps taken by the Government to widen the capital market for residential construction, and especially from the new third-mortgage institutions for housing (established in 1959) which grant loans to all sorts of builders partly with state guarantee. The housing boom is largely a consequence of the business investment boom. Rising real incomes and the transfer of the population from the countryside to the developing industrial areas have greatly increased the demand for houses. By the middle of 1961, the total volume of all types of construction work in progress was nearly one-quarter higher than a year earlier, and two-thirds above the level of mid-1958. A further increase in activity must have occurred in the second half of 1961.

17. There has been a very substantial increase in factory building. Completions rose by 9 per cent in 1958, 34 per cent in 1959 and 37 per cent in 1960. By the middle of 1961 the area under construction was 7 per cent higher than at the beginning of the year and 17 per cent higher than twelve months earlier. Other non-residential construction which, unlike factory building, is subject to licensing, has also expanded substantially. Unsatisfied demand in these sectors is still very strong; outstanding applications for building licences for business purposes have continued to increase. By the middle of 1961 the volume of work in progress for offices, retail shops and public buildings exceeded the mid-1958 level by about 50 per cent. Farm building in progress, at the middle of 1961, was somewhat lower than a year earlier but nearly 50 per cent above the average 1955-1959 mid-year level. (Table V of the Statistical Annex.)

18. Residential construction has also risen very sharply. By the beginning of 1960 the number of dwellings under construction was one-third higher than a year earlier and the authorities felt it necessary to extend the control of building to cover starts of all housing projects in the most important urban areas. This measure brought about a momentary relief; but as the controls were progressively relaxed, new starts rose by 44 per cent between the first halves of 1960 and 1961; in three years the volume of houses under construction had risen by no less than 70 per cent.

19. The sharp growth of demand for construction has partly been met by increased capacity as a consequence of rising productivity through higher activity in the winter months, and increased industrialisation of construction. Previously there had been an unnecessarily large winter fall of activity. But capacity has also become over-loaded. The greatly expanded number or building starts has not been reflected in a similar increase in completions. The period of construction has lengthened, reflecting pressure on resources in the building sector. It seems unlikely that the number of residential units started in the

Diagram 3. BUILDING ACTIVITY



Source: Economic Survey of Denmark, March 1961. Statistiske Efterretninger.

early months of 1962 will be substantially smaller than last year; for Copenhagen and its immediate surroundings it has already been agreed that permits for starts in the first quarter will be issued at about the same rate as in the first quarter of 1961. To help provide the manpower for this new volume of building, however, the Government has recently extended its powers of control to cover repairs and modifications exceeding a certain cost.

d) *Monetary and Budgetary Conditions*

20. In the years 1958 to 1960 easy monetary conditions were allowed to develop, so that although the budget served, on balance, to restrain the growth of demand, this was more than offset by the operations of the banking sector. 1961 saw some reversal of this situation in the sense that the monetary authorities aimed at reducing the effect of inflationary budget conditions.

21. *Credit Expansion.* Much of the investment in fixed capital and stocks that has taken place during the boom has been financed by the expansion of credit by the banks and the mortgage associations. To meet the rising demand for funds of various kinds, the commercial banks increased their lending by Kr. 1.5 billion in 1959 (approximately 21 per cent of the outstanding volume of credit) and maintained that rate of increase until the middle of 1961; not until the Autumn did the growth of bank credit begin to show signs of levelling-off. In the housing market the mortgage credit associations have responded similarly to the growth of demand for loans; the rate at which mortgage credit was expanding rose by one-third between 1958 and 1960, and continued to rise in the first three quarters of 1961.

TABLE 6. INCREASES IN NET LOANS OUTSTANDING FROM FINANCIAL INSTITUTIONS AND THE GOVERNMENT

Danish Kr. million.

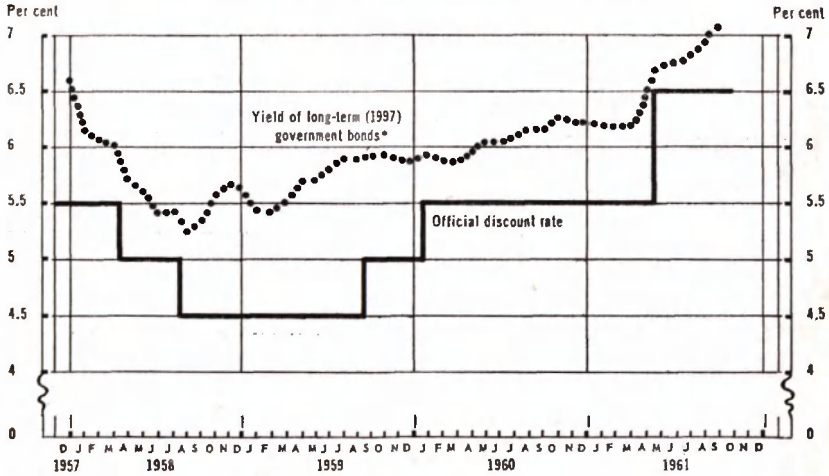
	1958	1959	1960	JANUARY NOVEMBER	
				1960	1961
Lending from:					
Commercial banks	435	1,525	1,485	1,179	970
Major savings banks	420	645	575	556	455
Mortgage credit associations[1]	1,215	1,295	1,655	1,548	2,246
Total for financial institutions	2,070	3,465	3,715	3,283	3,671
The Government	435	290	285	266	234
Total	2,505	3,755	4,000	3,549	3,905

1. Includes all bonds except government bonds. The figures are per values; the bonds have been sold at declining prices throughout the period.
Source: Economic Survey of Denmark, 1961. Statistiske Efterretninger.

22. Monetary policy in Denmark traditionally consists of changes in the rediscount rate and of open market operations. The authorities do not have the power to impose variable minimum reserve ratios or to require the banks to make special deposits with the National Bank. Nor are there any regulations to control the terms of hire-purchase transactions or the flotation of new issues on the capital market. Open market operations may be carried out either by the National Bank or the Treasury; the operations of the former are traditionally confined to the smoothing-out of day-to-day fluctuations in the bond market, but the Treasury can — and through much of the 1950s did — intervene substantially through the sale of bonds to moderate the capacity of the banks to extend the volume of credit.

23. In 1959 and 1960, the Government took the view that open market operations to limit the expansion of bank credit were not called for in view of the fact that the budget was showing a cash surplus and that, in 1960, losses of foreign currency were tending to reduce bank liquidities. It was felt that the expansion of bank advances, though

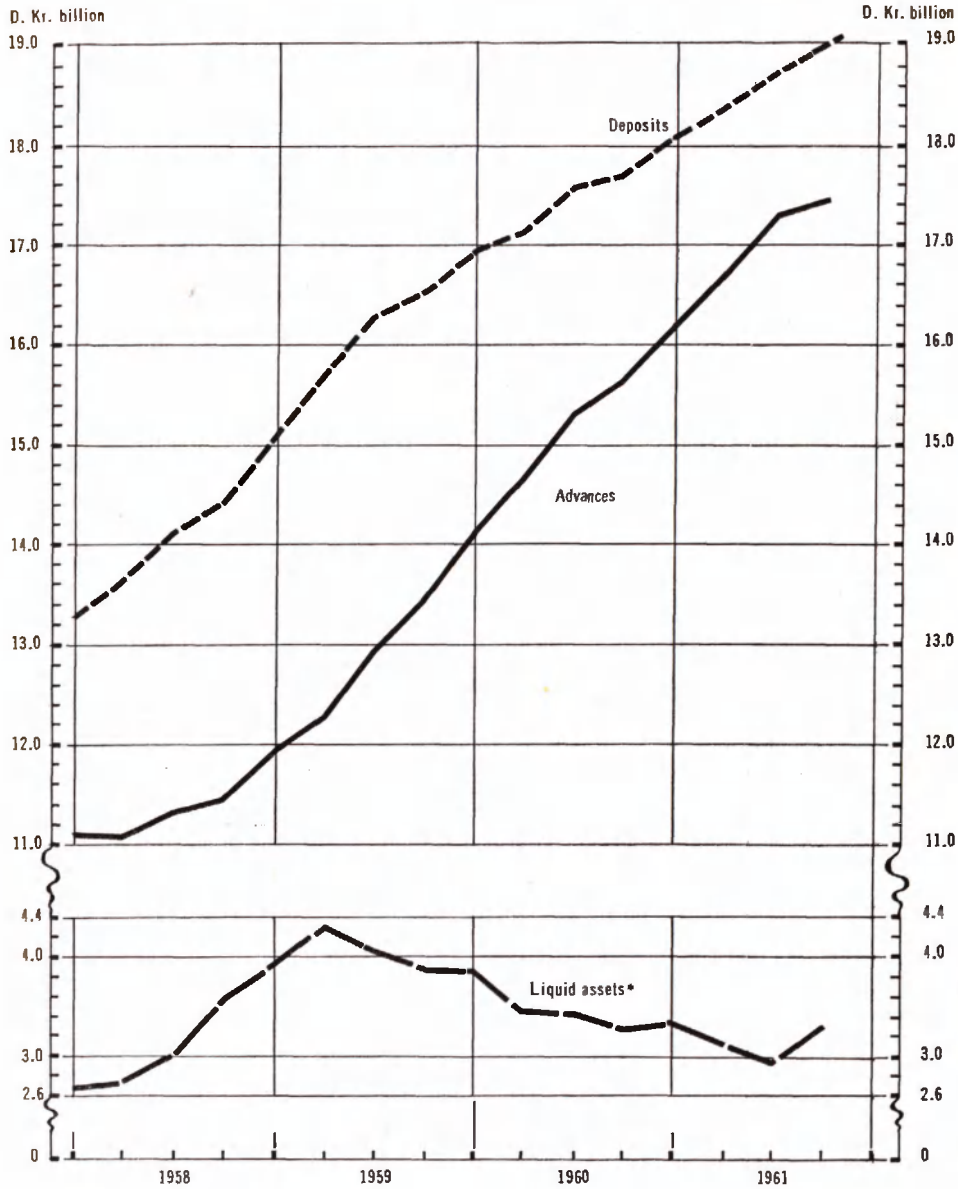
Diagram 4. OFFICIAL DISCOUNT RATE AND YIELD OF LONG TERM GOVERNMENT BONDS



1. Government loan S. 1997, 4 1/2 per cent.
Source: Statistiske Efterretninger.

sharp, was not in excess of the requirements of balanced economic expansion. The rediscount rate was raised by ½ per cent in September 1959 and again in January 1960, when inflationary tendencies were becoming pronounced, and by a further 1 per cent (to 6 ½ per cent) in May 1961. The authorities did not, however, seek to limit the growth of credit through open-market operations, and, under the boom conditions which had developed, increases in the interest rate of the order

Diagram 5. BANK CREDITS, DEPOSITS AND HOLDINGS OF LIQUID ASSETS



1. Comprising cash, net foreign assets and domestics securities of commercial banks and cash of savings banks.

Source: Statistiske Efterretninger.

then adopted were unlikely substantially to restrain demand on the part of borrowers. Thus in 1961, when the Government's budget had turned to a cash deficit and was consequently serving to increase liquidity, credit expansion did not slow down until, by the very rate of the increases and the balance of payments deficit which it helped to stimulate, the commercial banks had got into the position whereby they could make no further additional advances without borrowing from the National Bank. That is to say, monetary conditions only became tighter as a result of inflationary developments; monetary policy did not serve substantially to limit such developments before they had become excessive.

24. Mortgage lending has been able to expand considerably because of the large and active bond market. The commercial banks, on the other hand, have largely financed the growth of their advances in recent years by running down their liquidity positions. 1958 had seen a large rise in bank liquidity, and the expansion was accompanied by a strong increase in deposits without any corresponding increase of lending. But from 1959 onwards the reverse process took place, with the commercial banks adding to the liquidity of the non-bank sector by drawing down their accumulated reserves and borrowing against collateral from the Central Bank and by utilizing international financing facilities. It was not until the middle of 1961 that the stage began to be reached at which the commercial banks had to begin to limit advances to prevent their own liquidity positions from becoming seriously overstrained, and at which the Central Bank could significantly influence the credit position by its attitude towards further borrowing by the commercial banks.

TABLE 7. THE ACTIVITY OF THE COMMERCIAL BANKS

D. Kr. million.

	1958	1959	1960	JANUARY NOVEMBER	
				1960	1961
Increase in deposits	1,360	1,235	635	590	990
Increase in lending	435	1,525	1,485	1,180	970
Surplus of lending (over increase in deposits)	— 925	290	850	610	20
Financed by:					
Drawings on the National Bank, net	— 370	260	270	304	52
Reduction of foreign assets, net	— 185	135	330	115	— 60
Reduction of investments in bonds and other domestic assets	— 370	— 105	250	191	28

Source: Statistike Efterretninger and the National Bank's Annual Report 1960. The monthly figures are not completely comparable with the annual figures.

25. *Fiscal Policies.* The Government's direct claims on resources through its current and investment expenditure rose fairly sharply between the 1958-59 fiscal year [1] and 1960-61. But the liquidity effect of the budget became steadily more contractionary in the sense that the overall cash position changed abruptly from deficit to surplus in 1959-60 and the surplus showed some further increase in the 1960-61 year. The budgetary position changed suddenly, however, in 1961-62, when the rise in expenditure was particularly steep (some 22 per cent) and the cash balance deteriorated from a surplus of about Kr. 400 million to a deficit of Kr. 300 million.

TABLE 8. CENTRAL GOVERNMENT BUDGET[1]

D. Kr. million.

APRIL TO MARCH	1958-59	1959-60	1960-61	1961-62	1962-63
Current revenue	5,852	6,657	7,294	7,850	8,521
Personal taxes	2,050	2,264	2,481	2,525	2,941
Corporate taxes	363	403	430	450	460
Customs and excise taxes	3,354	3,864	4,171	4,700	4,930
Other revenue	85	126	212	175	190
Current and investment expenditure	5,206	5,725	6,173	7,550	8,021
Civil current expenditure	3,587	3,941	4,268	5,400	5,718
Civil investment expenditure	646	788	822	900	1,014
Defence (including civil defence)	973	996	1,083	1,250	1,289
Surplus on current and investment account	646	932	1,121	300	500
Redemption of debt and net lending from the government[2]	807	640	702	600	317
Cash surplus	— 161	292	399	— 300	183

1. Account figures up to and including 1960-61, revised budget figures 1961-62 and budget proposal 1962-63.
2. Government borrowing not deducted.
Source: Statsfinanserne, November, 1961.

26. The original budget proposal showed the same surplus on current and investment account as in the previous year. Three circumstances, however, intervened. Direct tax rates were lowered in the Spring. At about the same time as the wage contracts in the private sector were re-negotiated, government salaries were raised by 13 per cent, with an estimated annual cost of Kr. 500 million. Finally, the Government felt obliged to introduce a wide-ranging agricultural subsidy programme (outlined in paragraphs 29 to 31 below) with a net additional annual cost to the budget of Kr. 375 million.

27. It was not until November 1961 that any action to counteract these tendencies in the budget was undertaken, and by that time the 1961-62 cash deficit had already been incurred. (For seasonal reasons,

1. The Danish budget year covers the period 1st April to 31st March.

the gap between disbursements and receipts is concentrated in the first half of the fiscal year.) At this stage certain indirect taxes (on petrol and alcoholic beverages), together with railway and postal charges, were increased. These measures were not expected to raise revenue by more than Kr. 70 million in the 1961-62 fiscal year, but would amount to Kr. 270 million over a full year.

28. The 1962-63 budget is at present under discussion in Parliament. As originally proposed it envisaged a rather higher surplus of current revenue over the Government's own current and investment expenditure, with the possibility of a cash balance. New appropriations in addition to those included in the estimates are expected for old age pensions and military and civil defence. On the other hand, the revenue estimates do not include higher indirect taxes and charges of approximately Kr. 300 million.

e) *Agricultural policies*

29. In the past agricultural policy had been characterised by a minimum of government intervention, and farmers' prices were dictated by export prices. Over recent years Danish agriculture has suffered considerably from difficulties, as a result of protection abroad, in finding adequate outlets for agricultural products at remunerative prices and there has been a growing disparity between the incomes of agriculture and other sectors. Since 1959 there has been a significant departure from Denmark's previous policies in respect of agriculture. A system whereby domestic prices are fixed at a higher level than export prices has been established and the Government has granted considerable cash payments.

30. The increases in 1961 of domestic prices of pigmeat and dairy produce have been estimated to increase farmers' incomes by around Kr. 170 million on an annual basis. The loss [1] on sales of wheat and rye which amounted to Kr. 52 million for the harvest year 1961-62, is also covered by the Government. Kr. 50 million was appropriated to reduce fertilizer prices, and under each of the fiscal years 1961-62 and 1962-63 the Treasury will transfer Kr. 250 million to the " Rationalisation Fund of the Farming Industry ". In 1961 the Fund gave grants to individual farmers depending on the land value and number of cows, and refunded part of the land tax on farm holdings.

31. The total extent to which agriculture is now subsidised amounts to some Kr. 400 million a year including the direct subsidy paid from the budget and the cost to the Treasury of meeting the losses on domestically

1. More wheat and rye is produced than is used for bread. The surplus is used for feeding purposes and the Government pays the difference between the guaranteed prices and the value for feed.

produced grain. The decision to grant support of this magnitude resulted from the judgment that the gap between farmers' incomes and other incomes could no longer be allowed to grow; the rise in the farmers' wage bill resulting from the latest round of wage increases was the proximate but not the fundamental reason underlying the decision.

III. Prospects and Conclusions

32. The principal immediate aim of Danish policy must be to ensure that the inflationary pressures developing in recent years do not continue. Further inflation in 1962 would seriously endanger the foreign balance, and it is likely that the subsequent steps necessary to protect the reserves would have to be so sharp as to bring to an end the very favourable development of production and industrial investment of the last few years.

33. The fact that the authorities abstained from taking any very significant steps to arrest the inflation in its early stages reflected a desire to avoid cutting off yet another period of expansion in its prime. This attitude was facilitated by the fact that the boom itself partly originated in a growth of exports, and by the loans that Denmark was able to obtain from abroad. But the point was soon reached at which imports were rising faster than exports; and while moderate borrowing from abroad is clearly appropriate to support a high rate of industrial development (particularly when that process is strongly orientated towards export markets) it cannot, of course, be regarded as a solution to balance of payments deficits arising out of inflation.

34. Whether, in fact, the actions already taken will, in themselves, prove sufficient to arrest the inflation is at present uncertain. The expansion of bank advances has been so great that the monetary authorities seem now to be in a much better position than previously to control the credit situation. So far as fiscal policy is concerned, the Government raised certain indirect taxes and charges in November; if no new policy decisions to raise government expenditure are taken this should, together with the natural increase in existing tax yields, secure a cash balance in the fiscal year 1962-1963. On the other hand, budget expenditure in 1962-1963, on the basis of existing plans, will already rise by some 6 per cent, thus increasing the Government's claim on resources. Moreover, wages will rise automatically, as the result of the link with the cost-of-living index, at the end of February, with a similar further increase possible later in the year. And so long as there is heavy unfilled demand for labour, wage drift can again be important in 1962.

35. Assuming no very substantial movement of the terms of trade in either direction, the achievement of a reasonable overall balance will depend on how far foreign capital can again be obtained to support industrial development, because there is no indication at present that

the current account deficit is shrinking. Imports will certainly rise further with the continued expansion of demand. Food exports are, as at present, unlikely to increase. The prospect for industrial exports still seems favourable; but this will depend on the avoidance of both cost inflation and excessive pressure in the home market.

36. Under present circumstances, the continuation of the expansionary phase is likely to be best served by rather cautious economic policies. It would seem advisable, both from the immediate and the longer-term point of view, that contracyclical policy in 1962 should err, if anything, on the side of prudence. This applies over the whole field of economic policy, but has three particularly important implications.

37. First, a cautious budget is needed for 1962-1963. The budget, of course, has to be viewed in relation to the economic situation as a whole. The mere fact of achieving cash balance would not automatically imply that the budget was providing an adequate stabilizing effect to the economy — particularly when, as at present envisaged, it entails a further rise in government expenditure. Under present circumstances it would seem appropriate that the 1962-1963 budget should show a cash surplus, and that the Government should be ready to supplement it in the course of the year should this prove necessary.

38. Second, full use needs to be made in 1962 of the Government's powers to restrain the number of new building projects started. The object would not be to reduce the effective level of activity in the building sector, but to remove the excess demand for building labour which, by spilling over into the economy as a whole, has been a potent factor in the inflation to date. The volume of work in progress is at present so great that a quite substantial reduction in the granting of new licences would produce no significant fall in building activity.

39. Third, it would seem undesirable at the moment to make any relaxation in monetary policies. Indeed, the course of bank advances will have to be watched very carefully in the next few months and any further excessive rise prevented. Under existing circumstances, this might entail some more restrictive attitudes of the National Bank as regards the liquid funds it makes available to the commercial banks. Care must however be taken to avoid a credit policy so restrictive as to hamper the development of industry, so vitally important from a longer-term point of view. The combination of policies appropriate to Denmark may, thus, give less weight to credit restraint than to other measures.

40. But in an economy so heavily dependent on foreign trade as Denmark's, policies to control home demand cannot, in themselves, be a sufficient condition of balanced growth. A first essential must be to ensure a continuous improvement in the competitivity of Danish exports. Without this, the fuel and raw materials on which Denmark's

industrial expansion relies, and the imported investment and consumers' durable goods on which home demand is increasingly concentrating, cannot be paid for; and without this the industry now being developed — which, like Danish agriculture, caters largely for foreign markets — will not be able to dispose of its produce. Export competitivity cannot be achieved if wages and profits rise more than is commensurate with the increase in productivity and conditions on world markets. The problem of excessive cost increases presented itself forcibly in 1961. It will come to the fore again in 1963 when new wage agreements are due to be re-negotiated and agricultural policy comes up for revision. Next year wage increases must be negotiated with a greater attention to Denmark's position as an exporter in an increasingly competitive world.

41. The decision of the authorities to introduce important agricultural subsidies into the budget, and to raise the home market prices of a wider range of foodstuffs above those prevailing in world markets, constitutes a significant departure from previous agricultural policies in Denmark. It was dictated by the desire to limit any further widening of the gap between agricultural and other incomes. A less fortunate effect will be to make more difficult the task of maintaining price and wage stability. The new policy involves a substantial addition to the expenditure side of the budget. And henceforth food prices will tend to rise more in line with other items. These factors make it increasingly important to accelerate the rate of structural change inside the farm sector so as to reduce the need for support in the future. This requires the progressive relaxation of the present restrictions on purchases of land which hamper the development of a more rational organisation of agriculture.

STATISTICAL ANNEX

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TABLE I. NATIONAL PRODUCT AND EXPENDITURE

1954 Prices.

	1948		1952		1956		1960		PERCENTAGE CHANGE			
	D. KR. MILLION	% DISTRI-BUTION	D. KR. MILLION	% DISTRI-BUTION	D. KR. MILLION	% DISTRI-BUTION	D. KR. MILLION	% DISTRI-BUTION	1948-1952	1952-1956	1956-1960	1948-1960
Private consumption	15,974	73	17,755	71	19,886	71	23,294	67	11	12	17	46
Durables	1,381	6	1,960	8	2,711	10	3,911	11	42	38	44	183
Other	14,593	67	15,795	63	17,175	61	19,383	56	8	9	13	33
Public consumption	2,741	12	3,145	12	3,599	13	4,082	12	15	14	13	49
Defence	451	2	716	3	827	3	824	2	59	16	—0	83
Civil	2,290	10	2,429	9	2,772	10	3,258	10	6	14	27	42
Gross domestic fixed capital formation	2,765	13	3,810	15	4,597	16	6,919	20	38	21	51	150
Residential construction	667	3	686	3	715	2	1,060	3	3	4	48	59
Other construction	741	4	1,099	4	1,334	5	1,937	6	48	21	45	161
Machinery and equipment	1,357	6	2,025	8	2,548	9	3,922	11	49	26	54	189
Change in stocks	998	5	— 63	—0	410	1	1,230	4	..	..	..	..
Export of goods and services	3,940	18	7,292	29	9,568	34	13,257	38	85	31	39	236
Less: Imports of goods and services	4,577	21	6,765	27	9,830	35	14,261	41	48	45	45	212
Gross national product at market prices	21,841	100	25,174	100	28,230	100	34,521	100	15	12	22	58

Source: O.E.C.D. General Statistics 1961 : 4

TABLE II. GROSS NATIONAL PRODUCT BY INDUSTRIAL ORIGIN AT FACTOR COST

1955 Prices.

	1948		1952		1956		1960		PERCENTAGE CHANGE			
	D. KR. MILLION	% DISTRI-BUTION	D. KR. MILLION	% DISTRI-BUTION	D. KR. MILLION	% DISTRI-BUTION	D. KR. MILLION	% DISTRI-BUTION	1948-1952	1952-[3] 1956	1956-1960	1948-1960
Agriculture	3,836	17	5,085	19	5,410	18	6,036	17	32.6	6.4	11.6	57.4
Manufacturing	3,995	17	4,586	17	5,313	18	7,055	20	14.8	15.9	32.8	76.6
Handicrafts	2,324	10	2,339	9	2,488	9	3,000	8	0.6	6.4	20.5	29.1
Construction	1,504	7	1,884	7	2,058	7	2,525	7	25.3	9.2	22.7	67.9
Transportation and communication	2,096	9	2,483	10	2,925	10	3,485	10	18.5	17.8	19.1	66.3
Wholesale and retail trade	3,232	14	3,748	14	4,125	14	5,250	15	16.0	10.1	27.3	62.4
Government services	2,081	9	2,281	9	2,697	9	2,970	8	9.6	18.2	10.1	42.7
Other	3,820	17	3,934	15	4,383	15	5,149	15	3.0	11.4	17.5	34.8
Total	22,888	100	26,340	100	29,399	100	35,440	100	15.1	11.6	20.5	54.8
Total excluding repair and maintenance					26,242		32,022					

Source: Denmark's submission to the O.E.C.D. Statistisk Oversigt 1948-1959, Economic Survey of Denmark 1961.

Table III. GROSS FIXED CAPITAL FORMATION BY INDUSTRY

1954 Prices.

	1952		1956		1960		Percentage Change		
	D. Kr. Million	% Distribution	D. Kr. Million	% Distribution	D. Kr. Million	% Distribution	1952-1956	1956-1960	1952-1960
Agriculture	445	12	341	7	430	6	—23	26	—3
Manufacturing	460	12	502	11	1,160	17	9	131	152
Electricity, gas and waterworks	240	6	187	4	280	4	—22	50	17
Transportation and communication	695	18	1,044	23	1,300	19	50	25	87
Dwellings	685	18	715	16	1,050	15	4	48	53
Public administration	205	5	360	8	2,650	39	76	47	106
Other service industries	1,080	29	1,448	31			34		
Total	3,810	100	4,597	100	6,870	100	21	49	80

Source: Denmark's submission to the O.E.C.D. O.E.C.D. General Statistics, 1961-62. Economic Surveys of Denmark 1956 and 1961.

Table IV. EXPORTS BY MAJOR COMMODITIES

	Current Prices								Constant Prices			
	1948		1952		1956		1960		Percentage Change			
	D. Kr. Million	% Distribution	D. Kr. Million	% Distribution	D. Kr. Million	% Distribution	D. Kr. Million	% Distribution	1948-1952	1952-1956	1956-1960	1948-1960
Agricultural goods[1]	1,508	56	3,408	59	4,130	54	4,597	46	106	21	18	195
Industrial goods	901	34	2,094	36	3,135	41	4,858	48	95	59	60	396
Other	280	10	305	5	434	5	650	6	19	12	47	97
Total	2,689	100	5,807	100	7,699	100	10,105	100	96	35	37	258

1. Excluding processed food.
Source: Economic Surveys of Denmark 1956, 1958, 1959 and 1961. Statistiske Efterretringer.

TABLE V. BUILDING ACTIVITY

Thousands of sq. m.

	HOUSING	FACTORIES AND WORKSHOPS	OFFICES AND RETAIL SHOPS	FARM BUILDINGS	OTHER NON-RESIDENTIAL BUILDINGS	PUBLIC BUILDINGS	TOTAL	DWELLING UNITS
Building Starts:								
1954	2,136	367	99	434	173	522	3,731	24,321
1955	1,640	330	149	289	203	225	2,836	19,967
1956	1,811	347	134	278	210	366	3,146	21,724
1957	1,888	415	183	257	234	521	3,498	22,270
1958	2,084	571	291	219	246	476	3,887	24,293
1958 1st half	1,065	300	174	135	138	179	1,991	12,570
1959	2,817	798	280	459	221	481	5,056	33,517
1959 1st half	1,340	377	117	298	128	252	2,513	15,807
1960	2,676	1,123	302	469	315	454	5,339	29,956
1960 1st half	1,298	597	164	315	120	219	2,712	14,739
1961 1st half	1,864	497	227	302	124	500	3,506	19,643
Completions:								
1954	2,048	326	126	429	171	338	3,438	23,301
1955	2,081	362	102	312	200	448	3,505	23,982
1956	1,677	328	124	281	252	499	3,161	19,793
1957	2,180	414	170	271	206	388	3,629	26,538
1958	1,779	453	155	219	221	397	3,224	20,950
1958 1st half	742	158	39	32	96	150	1,217	8,847
1959	2,272	609	267	415	238	426	4,227	26,249
1959 1st half	945	233	81	74	119	155	1,607	11,187
1960	2,464	833	300	447	287	506	4,837	28,043
1960 1st half	1,108	381	134	99	167	203	2,092	12,965
1961 1st half	1,258	426	110	126	104	227	2,251	14 194
In Progress:								
1st January, 1954	2,108	300	103	57	202	655	3,425	24,062
1st July, 1954	2,514	344	67	282	199	754	4,160	29,224
1st January, 1955	2,196	341	76	62	204	839	3,718	25,082
1st July, 1955	1,971	296	72	182	186	811	3,518	23,677
1st January, 1956	1,755	309	123	39	207	616	3,049	21,067
1st July, 1956	1,968	305	146	192	213	501	3,325	24,259
1st January, 1957	1,889	328	133	36	165	483	3,034	22,998
1st July, 1957	2,150	301	126	178	258	596	3,609	25,282
1st January, 1958	1,597	329	146	22	193	616	2,903	18,730
1st July, 1958	1,920	471	281	125	236	644	3,677	22,453
1st January, 1959	1,902	447	282	22	218	695	3,566	22,073
1st July, 1959	2,296	592	318	247	227	792	4,472	26,693
1st January, 1960	2,447	636	295	66	201	750	4,395	29,341
1st July, 1960	2,636	852	324	282	154	766	5,014	31,115
1st January, 1961	2,659	927	296	88	230	697	4,897	31,254
1st July, 1961	3,264	995	413	264	250	967	6,153	36,703

Source: Economic Survey of Denmark, 1961. Statistiske Efterretninger.

TABLE VI. SUMMARY INDICATORS OF LONG-TERM DEVELOPMENT

	PERCENTAGE CHANGE	
	1952-1960	ANNUAL AVERAGE
Employment:		
Agriculture	— 24	— 2.7
Manufacturing	24	2.7
Gross National Product	37	4.0
Agriculture	19	2.1
Manufacturing	54	5.5
Capital Formation	80	7.6
Agriculture	(— 3)	(— 0.3)
Manufacturing	(152)	(12.2)
Dwellings	(54)	(5.6)
Exports	83	7.9
Agriculture	43	4.6
Manufacturing	154	12.4

TABLE VII. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	UNITS	1959				1960				1961		
		1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.
1. *Agricultural production:*												
Animal products	1953=100	112	126	119	120	124	130	117	116	118	130	127
2. *Manpower:*												
a) Unemployed, seasonally adjusted.	'000's	25.8	18.7	17.6	17.0	16.4	9.7	9.7	10.0	11.1	10.5	7.6
b) Insured, unemployed more than 6 days	Per cent	6.5	1.4	1.1	3.0	4.2	0.7	0.6	1.7	2.7	0.9	0.4
c) Employment in manufacturing	1953=100	106	112	115	117	116	118	119	119	117	118	119
d) Hours worked per month in manufacturing	1953=100	106	112	101	116	114	118	104	118	118	107[1]	103
3. *Engineering: total order stock*	1958=100											
a) Machine industry (end of period).		105	178	191	229	239	233	242	236	241	232	..
b) Electrical industry (end of period).		114	197	218	230	249	253	246	223	247	306	..
c) Shipbuilding (end of period)		..	769	688	761	668	663	644	629	635	606	..
4. *Retail trade:*												
a) Turnover in private retail trade	1953=100	118	126	127	156	125	138	139	167	135	148	156[2]
b) Sales of new cars, percentage change over previous year		41	51	53	51	31	30	10	11	32	—6[1]	30

1. Figure affected by strikes.
2. July-August.
Source: O.E.C.D., General Statistics. Statistiske Efterretninger.

TABLE VIII. WAGES AND PRICES

	UNITS	1959				1960				1961		
		1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.
1. *Hourly earnings in manufacturing and construction*	1955=100	123	130	127	131	129 ~~130~~	138 ~~140~~	134 ~~136~~	139 ~~140~~	140 ~~141~~	155 ..	152 ..
2. *Consumer prices*[1 2]	July 1957 = 100	101	101	102	103	103	103	103	104	105	106	108
~~Food~~		~~105~~	~~105~~	~~106~~	~~107~~	~~106~~	~~106~~	~~106~~	~~106~~	~~107~~	~~108~~	~~110~~
3. *Wholesale prices*	1955=100	102	102	102	103	102	102	102	102	102	104	104
a) Danish goods		104	104	105	105	105	105	104	105	105	107	107
b) Imported goods		99	100	99	99	99	98	98	98	98	99	98
4. *Agricultural export prices*	1955=100	99	95	105	107	93	92	101	104	95	99	91
5. *Building costs*[1]	1955=100	107	108	108	109	111	112	113	113	116	120	122

1. The figures are averages of data for the first day of each quarter and the first day of the following quarter.
2. Rent not included.

Source: Statistiske Efterretninger.

	61 2	3	4	62 1	2	3	
1			159	159			
2			110	112	113	117	119
3		104	105	105	107	106	
9			108	109	112	111	
6			100	99	99	99	
4			122	123	124	127	130
5							

TABLE IX. MONETARY SURVEY

End of period.

	UNITS	1959				1960				1961		
		1ST QUARTER	2ND QUARTER	3RD QUARTER	4TH QUARTER	1ST QUARTER	2ND QUARTER	3RD QUARTER	4TH QUARTER	1ST QUARTER	2ND QUARTER	3RD QUARTER
Central bank:	Millions of Kroner											
1. Foreign assets net[1]		902	914	1,152	1,311	1,188	1,057	1,160	1,501	1,564	1,432	1,274
2. Claims on Government[2]		3,160	2,928	2,900	2,858	2,800	2,800	2,800	2,800	2,750	2,750	2,750
3. Bonds		529	600	491	482	426	450	447	489	464	523	523
4. Claims on private sector		521	518	410	563	572	734	765	688	833	894	790
5. Notes in circulation		2,553	2,615	2,573	2,892	2,734	2,814	2,775	3,005	2,952	3,072	3,093
6. Government deposits		1,177	1,200	1,233	1,201	1,204	1,295	1,391	1,527	1,740	1,638	1,267
7. Other deposits		1,120	870	842	857	771	644	698	610	612	561	631
Deposit money banks[3]	—											
8. Cash		1,092	1,043	959	1,190	936	1,033	814	1,361	1,030	944	1,033
9. Foreign assets, net		485	507	487	297	201	201	223	— 31	— 50	— 111	— 36
10. Advances		12,244	12,959	13,416	14,132	14,611	15,316	15,614	16,192	16,697	17,291	17,441
11. Securities, mainly bonds		4,246	4,025	3,973	3,868	3,834	3,674	3,675	3,448	3,580	3,571	3,700
12. Monetary deposits		6,447	6,684	6,764	7,020	6,854	7,119	7,036	7,250	7,311	7,516	7,655
13. Time deposits		9,274	9,580	9,823	9,899	10,248	10,470	10,632	10,788	11,086	11,251	11,438
14. *Government bond yield*[4]	Per cent	5.52	5.77	5.91	5.87	5.86	6.05	6.19	6.21	6.20	6.76	7.11
15. *Discount rate*	—	4.50	4.50	5.00	5.00	5.50	5.50	5.50	5.50	5.50	6.50	6.50

1. Including debt to the E.P.U.
2. Excluding bonds.
3. Commercial banks and large savings banks.
4. Government loan S. 1997, 4 1/2 per cent.

Source: Statistiske Efterretninger.

Table X. TRADE AND RESERVES

	Units	1959				1960				1961		
		1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.	2nd Qtr.	3rd Qtr.
Value of trade, unadjusted :	$ Million											
1. Imports, c.i.f.		356	390	387	461	467	434	412	481	464	439	440
2. Exports, f.o.b.		320	317	347	391	353	360	350	399	362	357	369
3. Trade balance		— 36	— 73	— 40	— 70	— 114	— 74	— 62	— 82	— 102	— 82	— 71
Services:	—											
4. Shipping earnings, net		32	32	34	35	35	35	34	33	33	34	..
5. Other services net		15	22	27	21	18	24	36	29	22	27	..
6. Balance on services		47	54	61	56	53	59	70	62	55	61	[75]
7. *Balance on goods and services*	—	11	— 19	21	— 14	— 61	— 15	8	— 20	— 47	— 21	[4]
8. *Capital transactions:*	—											
Including errors and omissions		12	24	10	10	31	— 4	10	32	53	— 7	— [16]
9. *Change in foreign exchange reserve.*	—	23	5	31	— 4	— 30	— 19	18	12	6	— 28	— 12
10. *Gold and foreign exchange holdings, net* (end of period)	—	201	206	237	233	203	184	202	213	219	191	179
Value of trade, seasonally adjusted:	—											
11. Imports, c.i.f.		366	397	394	428	457	441	413	452	465	452	449
12. Exports, f.o.b.		335	320	365	355	348	370	369	370	366	363	390
Volume indices:												
13. Imports, seasonally adjusted	1953=100	154	165	168	179	189	184	173	192	196	189	..
14. Imports unadjusted		149	162	165	193	193	177	170	204	196	183	..
15. Exports, seasonally adjusted		151	150	159	151	154	171	165	160	166	165	..
16. Exports unadjusted		144	149	151	166	156	166	156	173	164	162	..
Price indices:												
17. Imports	1953=100	92	92	92	93	94	95	93	93	93	94	..
18. Exports	—	100	95	101	102	98	96	100	101	96	98	..
19. Terms of trade	—	109	103	110	110	104	101	108	109	103	104	..
20. Freight rates	1955=100	77	74	74	78	81	80	82	84	81	80	82

Sources: O.E.E.C., Statistical Bulletins. Economic Survey of Denmark, March 1961. Statistiske Efterretninger. Vareomsaetningen med udlandet.

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